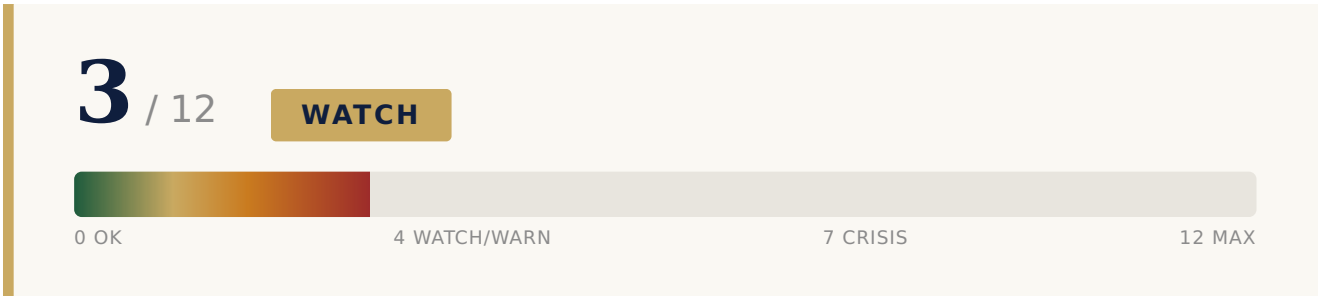


Daily Risk Report

Global long-end yield stress · JP / US / UK

As of 2026-05-17

EXECUTIVE SUMMARY



ALERTS & ANOMALIES

- ▶ SOFR: z=-2.60 (WARN)
- ▶ TLT (US 20+Y bonds): z=-2.19 (WARN)
- ▶ US 10Y term premium (ACM): level=0.700 crosses WARN threshold
- ▶ JGB 10Y: level=2.628 crosses CRISIS threshold
- ▶ JGB 30Y: level=3.852 crosses CRISIS threshold
- ▶ JGB 40Y: level=3.868 crosses CRISIS threshold

STRESS INDEX COMPOSITION

COMPONENT	CURRENT	THRESHOLDS (LOW / HIGH)	SCORE
MOVE (Treasury vol)	79.870	low=100, high=140, direction=above	0
US 10Y term premium	0.700	low=0.5, high=1.0, direction=above	1
SOFR-IORB spread	-0.090	low=0.05, high=0.1, direction=above	0
JGB 30Y yield	3.852	low=2.5, high=3.0, direction=above	2
UK Gilt ETF 5d return	-0.018	low=-0.025, high=-0.045, direction=below	0
KRE 1m return	-0.027	low=-0.05, high=-0.1, direction=below	0

INDICATOR SNAPSHOT

US Treasuries

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
US 2Y Treasury	4.000%	2026-05-14	+0.020	+0.080	+0.220	+1.52	OK
US 10Y Treasury	4.470%	2026-05-14	+0.010	+0.060	+0.150	+1.47	OK
US 30Y Treasury	5.020%	2026-05-14	-0.010	+0.050	+0.090	+1.45	OK
US 10Y term premium (ACM)	0.700%	2026-05-08	-0.009	-0.004	+0.048	+1.10	WARN

Funding & Liquidity

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
SOFR	3.560%	2026-05-14	-0.030	-0.040	-0.110	-2.60	OK
IORB	3.650%	2026-05-18	+0.000	+0.000	+0.000	—	OK
ON RRP usage	\$0.6B	2026-05-15	-68.19%	-17.79%	+372.26%	-0.31	OK
Treasury TGA balance	\$838,584M	2026-05-13	-4.46%	+12.05%	+0.17%	+0.65	OK
Fed total assets (H.4.1)	\$6,728,502M	2026-05-13	+0.28%	+0.52%	+2.24%	+1.58	OK

US Credit

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
US IG corporate OAS	0.760%	2026-05-14	+0.000	-0.030	-0.050	-1.68	OK
US HY corporate OAS	2.760%	2026-05-14	-0.060	-0.030	-0.100	-1.34	OK

FX

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
USD/JPY	¥156.64	2026-05-08	+0.10%	-0.08%	-1.62%	-0.79	OK
GBP/USD	\$1.36	2026-05-08	+0.10%	+0.03%	+1.23%	+1.54	OK
DXY US Dollar Index	99.27	2026-05-15	+0.39%	+1.46%	+1.19%	+0.56	OK

Volatility

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
VIX (equity vol)	18.43	2026-05-15	+6.78%	+7.21%	+5.43%	-0.78	OK
MOVE (Treasury vol)	79.87	2026-05-15	+14.71%	+18.77%	+21.57%	+0.12	OK

Equities

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
KRE (regional banks)	\$66.97	2026-05-15	-1.14%	-4.12%	-4.83%	-0.14	OK

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
Nikkei 225	61,409.29	2026-05-15	-1.99%	-2.08%	+8.68%	+1.42	OK
TOPIX Banks (1615.T)	¥639.70	2026-05-15	-0.05%	+2.75%	+2.43%	+1.01	OK
FTSE 100	10,195.40	2026-05-15	-1.71%	-0.37%	-3.73%	-0.86	OK

Safe Haven / Alt

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
Gold (CME front)	\$4,561.90	2026-05-15	-2.48%	-3.36%	-6.09%	-0.98	OK
Bitcoin	\$78,087.64	2026-05-17	-1.24%	-4.45%	-0.71%	+0.78	OK

Long Bonds

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
TLT (US 20+Y bonds)	\$83.66	2026-05-15	-1.48%	-2.81%	-3.92%	-2.19	OK
IGLT.L (UK gilts ETF)	9.63	2026-05-15	-1.13%	-1.76%	-1.76%	-1.62	OK

Japan Yields

INDICATOR	LATEST	DATE	1D Δ	5D Δ	20D Δ	Z (60D)	STATUS
JGB 10Y	2.628%	2026-05-14	+0.041	+0.143	—	—	CRISIS
JGB 30Y	3.852%	2026-05-14	+0.069	+0.138	—	—	CRISIS
JGB 40Y	3.868%	2026-05-14	+0.062	+0.121	—	—	CRISIS

GLOSSARY & ECONOMIC MEANING

US Treasuries

US 2Y Treasury

us_2y · unit: %

US 2-Year Treasury yield. Reflects market expectations of the Fed funds rate over the next 2 years; the front-end anchor and a key driver of curve shape.

US 10Y Treasury

us_10y · unit: %

US 10-Year Treasury yield. The global risk-free benchmark; anchors mortgages, corporate borrowing costs, and cross-border rate markets.

US 30Y Treasury

us_30y · unit: %

US 30-Year Treasury bond yield (the long bond). Most sensitive to inflation expectations, fiscal sustainability concerns, and structural demand from long-duration buyers (insurers, pensions, foreign reserve managers).

US 10Y term premium (ACM)

us_10y_term_premium · unit: %

Adrian-Crump-Moench (ACM) model term premium on the 10Y, published by NY Fed. The compensation investors demand for holding long-duration risk beyond what expected short-rate paths can justify. Rising values indicate structural repricing of sovereign duration — often driven by fiscal concerns or weakening foreign demand.

Funding & Liquidity

SOFR

sofr · unit: %

Secured Overnight Financing Rate. The post-LIBOR USD benchmark; reflects the true cost of overnight Treasury repo. Spikes (relative to IORB) flag dollar funding stress, as in the September 2019 repo blowup.

IORB

iorb · unit: %

Interest on Reserve Balances. Rate the Fed pays banks on excess reserves; the de facto floor of the fed funds corridor and benchmark for SOFR.

ON RRP usage

rrp_usage · unit: \$B

Overnight Reverse Repo Program take-up. Money-market funds park cash with the Fed when private-market yields are unattractive. A draining RRP signals cash flowing back into private repo and T-Bills; a swelling RRP signals excess liquidity with nowhere to go.

Treasury TGA balance

tga_balance · unit: \$M

Treasury General Account balance at the Fed. The US Treasury's checking account. Drawdowns inject liquidity into the banking system; refills (e.g. post debt-ceiling deals) drain it. Key variable around X-date risk windows.

Fed total assets (H.4.1)

fed_balance_sheet · unit: \$M

Total assets on the Fed's weekly H.4.1 balance sheet. Tracks QE expansion and QT runoff; the broadest single gauge of central bank liquidity supply.

US Credit

US IG corporate OAS

ig_oas · unit: %

ICE BofA US Investment-Grade Corporate Index option-adjusted spread over Treasuries. The compensation for IG credit + liquidity risk. Widening signals rising default expectations and/or deteriorating bank balance sheets.

US HY corporate OAS

hy_oas · unit: %

ICE BofA US High-Yield Corporate Index OAS. The 'risk gauge' of corporate credit. HY spreads typically lead equity drawdowns by days to weeks and are the cleanest read on leverage-system stress.

FX

USD/JPY

usdjpy · unit: JPY

USD/JPY spot. Captures the Fed-BOJ policy gap and the temperature of yen carry-trade positioning. A sharp drop (yen strength) signals carry-unwind and tends to precede global risk-off (e.g. Aug 2024).

GBP/USD

gbpusd · unit: USD

GBP/USD spot. Key gauge of UK fiscal/political credibility; LDI-style stress (Sep 2022) typically shows here first as foreign holders dump gilts and convert proceeds back to home currency.

DXY US Dollar Index

dxy · unit: idx

ICE US Dollar Index. Trade-weighted USD vs a basket of major currencies. A rising DXY tightens global dollar liquidity and pressures EM/commodity complexes.

Volatility

VIX (equity vol)

vix · unit: idx

CBOE Volatility Index. 30-day implied vol on S&P 500 options — the 'equity fear gauge'. Sustained levels above 25 = elevated risk; spikes above 40 historically coincide with macro shocks.

MOVE (Treasury vol)

move · unit: idx

Merrill Option Volatility Estimate. The Treasury-market equivalent of VIX: implied vol weighted across 2/5/10/30Y options. The single most important rates-market stress gauge — spikes in MOVE precede most US fixed-income dislocations (LDI 2022, SVB 2023, basis-trade unwinds).

Equities

KRE (regional banks)

kre · unit: USD

SPDR S&P Regional Banking ETF. Most direct read on US regional bank stress — this cohort holds the largest unrealised losses on HTM Treasuries and is most exposed to a duration shock (SVB-style risk).

Nikkei 225

nikkei · unit: idx

Nikkei 225 Index. Tokyo's price-weighted blue-chip index; export-heavy composition makes it highly sensitive to USD/JPY and global growth. Sharp drops often signal carry-unwind underway (e.g. -12% on 5 Aug 2024).

TOPIX Banks (1615.T)

topix_banks · unit: JPY

TOPIX Banks sector ETF. Japanese bank stocks reflect JGB capital pressure via NIM expansion (positive) and HTM unrealised losses (negative); a useful barometer of how Japanese banks are processing rising long-end yields.

FTSE 100

ftse100 · unit: idx

FTSE 100 Index. UK blue chips dominated by global commodity, financial, and pharma names; less reflective of UK domestic stress than FTSE 250.

Safe Haven / Alt

Gold (CME front)

gold · unit: USD/oz

Gold front-month futures (COMEX). Classic hedge against sovereign credit risk, inflation, and currency debasement. Rising despite stable real rates is a clean signal of structural sovereign-risk repricing.

Bitcoin

btc · unit: USD

Bitcoin spot (USD). Alternative store-of-value; correlation regime shifts — at times tracks risk assets, at times tracks gold. Useful as a tail-hedge indicator when traditional safe havens are also under stress.

Long Bonds

TLT (US 20+Y bonds)

tlt · unit: USD

iShares 20+ Year Treasury Bond ETF. Proxy for long-duration Treasury total return. Falling TLT = long-end yields rising; large drawdowns confirm structural repricing in the long bond.

IGLT.L (UK gilts ETF)

uk_gilt_etf · unit: GBp

iShares Core UK Gilts UCITS ETF. Price-based UK gilt stress proxy used when direct gilt-yield feeds are unavailable. ETF duration is ~14 years, so each 1% price drop corresponds to roughly a 7-8 bp yield rise across the curve. Used in lieu of UK 30Y yield in the composite stress index.

Japan Yields

JGB 10Y

jgb_10y · unit: %

Japan 10-Year Government Bond yield. Long the BOJ's YCC target — rising values signal monetary normalisation, JGB demand erosion, and broader global liquidity tightening as Japanese institutions repatriate.

JGB 30Y

jgb_30y · unit: %

Japan 30-Year JGB yield. Highly sensitive to BOJ purchase pace and life-insurance ALM demand. The single most important non-US sovereign-rate signal: a 25 bp move here translates into hundreds of billions of USD of potential reallocation flow globally.

JGB 40Y

jgb_40y · unit: %

Japan 40-Year JGB yield. The longest tenor JGB issued; lowest liquidity, most volatile, often leads the JGB curve. Levels above 3% are historically rare and stress thin pension/insurance demand.

Definitions: **OAS** = option-adjusted spread; **SOFR** = Secured Overnight Financing Rate; **IORB** = Interest on Reserve Balances; **RRP** = Reverse Repo Program; **ACM** = Adrian-Crump-Moench term-premium model; **JGB** = Japan Government Bond; **LDI** = Liability-Driven Investing; **MOVE** = Merrill Option Volatility Estimate; **VIX** = CBOE Volatility Index; **TLT** = iShares 20+Y Treasury ETF; **KRE** = SPDR S&P Regional Banking ETF; **DXY** = US Dollar Index. Yields and OAS values are quoted in level percent (e.g. 4.470 = 4.470%); deltas for yields/spreads are level differences, deltas for prices/indices are percent. Composite stress index methodology: see 01_scenario_analysis.md §5.